BABE LABORATORIOS

CASEKEY Demo Case 2: BABE Laboratorios

TEAM: OIKOS8

OIKOS8

OIKOS WE ARE THINKING OUT OF ANY BOX:

OVERVIEW

Scaling Trust Without Losing Trust

BABÉ has built its business on trust, pharmacist relationships, and Culture of Care — with **~170% sales growth** across **~50 countries** and **85% of revenue internationally**.

The central challenge: How can BABÉ scale trust without diluting it?

EXECUTIVE SUMMARY

BABÉ Care Network™ — Transform to Win

The Opportunity:

BABÉ has built unmatched trust with pharmacists and consumers across 50 countries. The market is shifting toward care-based, expert-guided skincare. No competitor has built a scalable ecosystem around trust.

The Challenge:

BABÉ's trust engine works, but it doesn't scale. Fragmentation across markets, inconsistent experiences, and lack of consumer data limit growth.

The Solution:

BABÉ Care Network™ — a care operating system connecting pharmacists, consumers, dermatologists, and data into one integrated ecosystem.

Four Pillars of Execution:

1	2
Pharmacist Enablement Training, certification, digital tools	**Consumer Engagement** Care Passport, digital touchpoints, journey tracking
3	**4**
Data & Intelligence Care Index™, AI-driven optimization	**Ecosystem Integration** Regional hubs, cross-country continuity, compliance

The Impact:

€50M+	+8-12%	3.5x
Revenue Target	Margin Increase	ROI by Year 3
From €20M (58% CAGR over 3 years)	Through ecosystem monetization	18-month payback period

Competitive Moat: Network effects, data advantage, trust lock-in, regulatory leadership

The Ask:

Approve €8-12M investment to transform BABÉ from a product company into a global care operating system.

ANALYSIS

Understanding the market, competition, and BABÉ's position

BABÉ's Real Competitive Advantage Is Not Products — It Is Trust

Traditional Competitive Battlefield

Large competitors dominate on:

- Product innovation
- Marketing budget
- Distribution scale

BABÉ's Hidden Asset

BABÉ competes in the **trust business**, not the skincare business.

- Pharmacists, dermatologists & pediatricians
- Relationship-based credibility
- "Science with Emotion"
- Professional advocacy network

BABÉ's advantage is its trust network.

The Question We Need to Solve

The strategic question is not "How can BABÉ sell more products?" It is: **How can BABÉ create a globally consistent care experience while scaling through thousands of pharmacies, distributors, and healthcare professionals?**

Tension 1: Trust vs. Scale

Personal relationships are hard to scale globally.

Tension 2: Consistency vs. Localization

Local adaptation creates variation in experience and execution.

Tension 3: Physical Trust vs. Digital Expectations

BABÉ needs digital enablement without digital dependency.

BABÉ Care Network™ solves these tensions through three pillars: **Global Care Excellence**, **Digital Care Infrastructure**, and **Category-Led Expansion**.

The Future Market Is Moving Toward BABÉ

The next three years are a strategic window: market trends are converging with BABÉ's strengths in trust, expertise, prevention, personalization, and professional guidance.

Skin Health Shift

Skincare is increasingly viewed as healthcare.

Prevention Over Treatment

Preventive skincare is growing fast.

Expert Guidance Demand

Consumers want dermatologists and pharmacists to help them decide.

Dermo-Cosmetics Growth

The category still offers substantial growth potential.

Trust Economy

Trust in experts remains stronger than trust in advertising.

Strategic Insight: BABÉ already has trust. It now needs scale.

The Market Is Crowded — But the Most Valuable Space Is Empty

Competitors optimize around products, brands, and distribution. No major player has built a scalable ecosystem around trust, care, and pharmacist enablement. BABÉ can own this white space.

Dimension	Large Competitors	BABÉ
Scale	High	Medium
Marketing Budget	High	Low
Distribution Reach	High	Medium
Professional Trust	Medium	**High**
Pharmacist Engagement	Medium	**Very High**
Care Philosophy	Low	**Very High**
Community Infrastructure	Low	None Yet

Competitive Positioning Map

The key gap is **High Scale + High Relationship Depth**. Large competitors lead on scale; independent pharmacies lead on relationship depth. The top-right quadrant is empty.

The White Space

The winner may be the brand that owns the strongest **care ecosystem**. Products become part of the system. Trust becomes the moat.

BABÉ Already Owns the Assets Required to Win

BABÉ already has the strategic assets it needs. The opportunity is to organize and scale them.

Trust Capital

30+ years of credibility with pharmacists, dermatologists, and consumers.

Global Pharmacy Network

Operating in ~50 countries through pharmacy-focused channels.

Culture of Care

"Science with Emotion" aligns the organization globally.

Professional Advocacy

Healthcare professionals drive trust and adoption.

Growth Engine

170% growth over five years and €20M revenue.

Networks scale exponentially.

The Problem Is Not Growth — The Problem Is Fragmentation

BABÉ has a trust engine, but not yet a trust operating system. Growth is constrained by execution variability, not demand: **no shared care infrastructure**.

1 Inconsistent Customer Experience

Experience varies by pharmacist, threatening brand equity at scale.

2 Distributor Dependency

Local distributors reduce visibility and control at the last mile.

3 Limited Consumer Data

BABÉ lacks consumer-level insight into purchase and journey.

4 Knowledge Does Not Scale

Critical expertise remains trapped in people instead of systems.

BABÉ Care Network™ can serve as the operating system for care.

The BABÉ Care Network™ Solution

And implementation roadmap.

Four Pillars of Implementation

The BABÉ Care Network™ requires coordinated execution across four critical tactical areas:

Pharmacist Enablement

Training, certification, and digital tools

Consumer Engagement

Care Passport, digital touchpoints, journey tracking

Data & Intelligence

Care Index™, outcome measurement, AI optimization

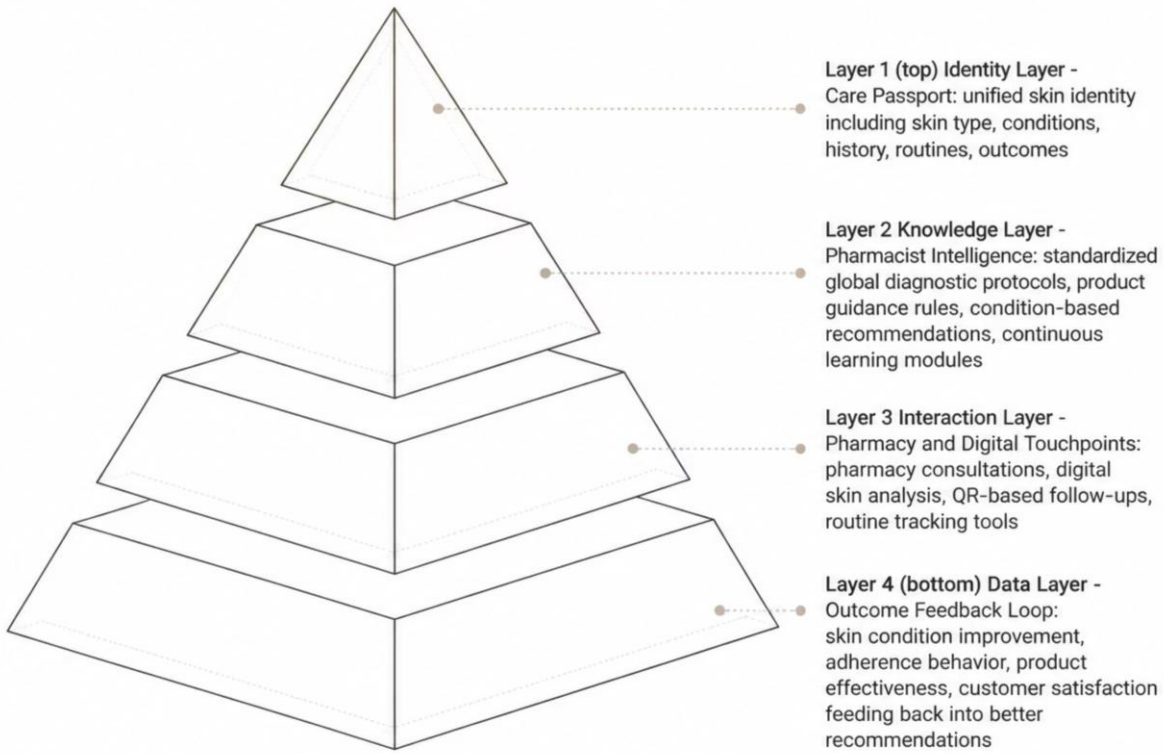
Ecosystem Integration

Distributor coordination, regional hubs, cross-country continuity

Each pillar must be built sequentially but executed in parallel across markets.

BABÉ Care Network™ = The Operating System for Global Skin Health

BABÉ Care Network™ is a **care operating system** that connects pharmacists, consumers, dermatologists, pediatricians, distributors, and BABÉ internal teams. If trust is BABÉ's asset, then **systems — not products — scale trust**.



The system turns BABÉ into a **global care operating system with embedded products**. Key advantages: **Network Effects**, **Data Advantage**, and **Trust Standardization**.

#The image generated via AI from my concept

Ecosystem Integration — Scaling Across Markets

The Care Network™ must work seamlessly across 50+ countries with different distributors, regulations, and market dynamics.

01

Distributor Enablement

Training and incentives for local partners to support the ecosystem

02

Regional Care Hubs

Local teams managing pharmacist relationships, training, and market adaptation

03

Cross-Country Continuity

Unified Care Passport allowing consumers to continue care across borders

04

Localization Framework

Standardized protocols with flexibility for regional needs

05

Compliance & Governance

Centralized oversight ensuring consistent quality and regulatory adherence

Success Metric: Full ecosystem deployment in 15+ countries by Year 3; <5% variance in care quality across markets

Data & Intelligence — The Competitive Moat

Data transforms BABÉ from a product company into a care intelligence platform. Outcome data drives better recommendations and innovation.

Care Index™

Proprietary metric measuring skin health improvement across conditions

Outcome Measurement

Systematic tracking of skin condition improvement, adherence, and satisfaction

AI-Driven Optimization

Machine learning to improve recommendations and predict outcomes

Feedback Loop

Consumer and pharmacist data feeds product innovation and market expansion

Privacy-First Architecture

GDPR-compliant data governance ensuring consumer trust

Success Metric: 1M+ outcome data points collected by Year 3; AI model accuracy >85%

Consumer Engagement — Building the Care Journey

Consumers need a unified way to track their skin health, receive personalized guidance, and stay engaged with BABÉ across touchpoints.

Key Tactics:

Care Passport

Digital identity capturing skin type, conditions, routines, and outcomes

Pharmacy Consultations

QR-based check-ins and follow-ups at point of purchase

Digital Skin Analysis

Mobile app for self-assessment and routine tracking

Care Journey Tracking

Personalized recommendations based on skin improvement data

Community Building

Peer support, expert content, and condition-specific guidance

Success Metric: 500K+ active Care Passport users by end of Year 2

Pharmacist Enablement — The Foundation of Trust

Pharmacists are BABÉ's primary distribution channel and trust multiplier. Enablement means giving them the tools, knowledge, and incentives to become care advisors.

BABÉ Care Academy

Standardized certification program covering skin conditions, product guidance, and care protocols

Diagnostic Protocols

Unified global frameworks for skin assessment and recommendation

Digital Tools

Mobile app for consultations, product recommendations, and patient follow-up

Incentive Alignment

Commission structures tied to care outcomes, not just product sales

Regional Support

Dedicated care coaches in each market to drive adoption and quality

Success Metric: 80%+ pharmacist certification rate in priority markets by Year 2

3-Year Path to Becoming a Global Care Operating System

BABÉ's transformation follows a sequenced build: product company → care platform → global care operating system.

Year 1 — Foundation

Build & Pilot Care Network™

- Launch Care Passport
- Build BABÉ Care Academy
- Define Care Index™ framework
- Select 2–3 model markets

Year 2 — Expansion

Multi-Country Rollout

- Roll out Care Passport to top countries
- Expand pharmacist certification
- Activate regional Care Hubs
- Introduce Care Journey tracking

Year 3 — Platformization

Global Ecosystem & AI Care Intelligence

- Full global deployment of Care Network™
- AI-driven Care Index™ optimization
- Cross-country journey continuity
- Data feedback loop for innovation

1 2 3

Key Principle: Standardize → Validate → Scale → Dominate.

IMPACT

The strategic choice and business case

Strategic Risks & Mitigation

Transformation at this scale carries execution risks. BABÉ must address them proactively.

Pharmacist Adoption

Risk: Pharmacists resist change or lack time for training

Mitigation: Outcome-based incentives, simplified tools, regional support teams

Consumer Data Privacy

Risk: Data breaches or regulatory violations damage trust

Mitigation: GDPR-first architecture, third-party security audits, transparent governance

Market Fragmentation

Risk: Regional variations undermine global consistency

Mitigation: Standardized protocols with localization flexibility, centralized governance

Competitive Response

Risk: Large competitors launch similar ecosystems

Mitigation: Speed to market, pharmacist lock-in, data advantage, brand trust

Technology Execution

Risk: Platform delays or poor user experience

Mitigation: Agile development, MVP approach, continuous user testing

Competitive Moat — Why BABÉ Wins

The BABÉ Care Network™ creates defensible advantages that competitors cannot easily replicate.

Network Effects

- Each new pharmacist strengthens the ecosystem for consumers
- Each consumer data point improves recommendations for all users
- Ecosystem becomes more valuable as it scales

Data Advantage

- 1M+ outcome data points by Year 3 create proprietary insights
- AI models trained on real-world skin health outcomes
- Competitors lack access to this outcome-driven data

Trust Lock-in

- Pharmacists invested in BABÉ training and certification
- Consumers with Care Passport history stay engaged
- Switching costs increase with ecosystem depth

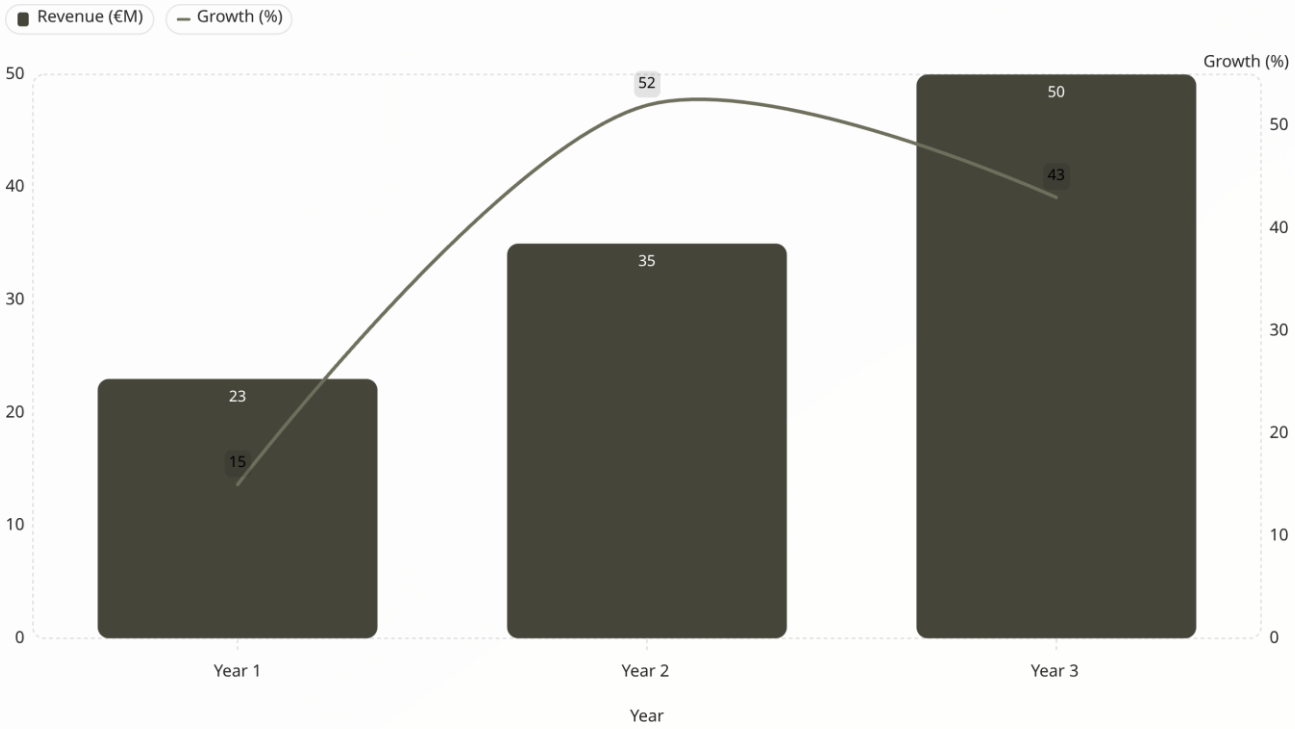
Regulatory Moat

- First-mover advantage in care ecosystem standards
- Potential to set industry benchmarks for outcome measurement
- Regulatory relationships with health authorities

Financial Impact — The Business Case

The BABÉ Care Network™ transformation unlocks significant revenue and margin expansion through ecosystem monetization and operational efficiency.

Revenue Growth:



The projected 3-Year CAGR is 58%, significantly higher than the historical 34%, demonstrating accelerated growth with the Care Network™.

Margin Expansion:

The shift from a product-centric to an ecosystem-centric model improves gross margins by 8-12%. Reduced distributor dependency increases direct margin capture, and data-driven recommendations reduce product waste and returns.

Investment Required

€8-12M over 3 years (technology, training, regional hubs)

ROI

3.5x by Year 3; payback period 18 months

#The Chart is imported from Canva

This Is Not a Growth Decision. It Is a Category-Defining Decision.

BABÉ is at a strategic inflection point: become a global care operating system, or remain a conventional dermocosmetics brand.

Traditional Brand Path

- Products & marketing
- Price-driven competition
- Linear growth

BABÉ Care Network™ Path

- Care system & trust infrastructure
- Pharmacists + consumers + data
- Scalable ecosystem

€20M

Current Revenue

Base for transformation

170%

5-Year Growth

Proven demand

~50

Countries

Existing network

2–2.5x

Revenue Potential

Within 3–5 years

Final Recommendation: Approve the BABÉ Care Network™ Transformation Program.

CLOSING RECOMMENDATION

The Time to Act Is Now

BABÉ stands at a strategic inflection point. The company has already achieved what most brands never reach — strong pharmacy trust, international presence, and proven growth. But the next phase requires a fundamental shift in how BABÉ operates.

Why Now?

- Market trends are converging with BABÉ's strengths
- Competitors haven't yet built care ecosystems
- BABÉ's trust capital is at peak value
- Technology and data capabilities are now mature

What's at Stake?

If BABÉ acts:

- Become the global leader in care-based dermocosmetics
- Unlock 2-2.5x revenue growth
- Build defensible competitive advantages

If BABÉ waits:

- Risk commoditization
- Lose first-mover advantage
- Watch competitors build similar ecosystems

The Path Forward:

Year 1 focuses on foundation-building in 2-3 model markets. Year 2 expands to top markets. Year 3 achieves global scale with AI-driven optimization.

Final Recommendation:

Approve the BABÉ Care Network™ Transformation Program.

This is not a growth initiative. It is a category-defining decision that will determine BABÉ's future as a company.

Global Format				
Non - Consolidated Accounts	31/12/2023 EUR 12 months Pending processing Normal PGC 2007	31/12/2022 EUR 12 months Approved Normal PGC 2007	31/12/2021 EUR 12 months Approved Normal PGC 2007	31/12/2020 EUR 12 months Approved Normal PGC 2007
Balance Sheet				
Tangible Fixed Assets	676.779	534.029	741.792	644.880
Inangible Fixed Assets	360.505	259.580	264.398	219.678
Real Estate Investments	202.525	134.887	174.803	154.429
Other Fixed Assets	113.749	139.562	302.590	270.773
Current Assets	5.702.698	5.366.600	5.168.580	2.712.089
Inventory	784.123	953.828	2.001.445	517.454
Accounts Receivable	4.401.791	3.732.448	2.909.495	1.995.696
Other Liquid Assets	516.784	680.324	257.640	198.939
Cash	305.268	486.336	123.990	76.822
Total Assets	6.379.477	5.900.629	5.910.372	3.356.969
Equity	2.516.808	1.792.068	1.709.804	1.418.239
Share Capital	3.010	3.010	3.010	3.010
Other Equity Funds	2.513.798	1.789.058	1.706.794	1.415.229
Fixed Liabilities	550.337	952.720	1.351.437	n.d.
Long - term Créditos	550.337	952.720	1.351.437	n.d.
Other fixed liabilities	0	0	0	0
Provisions	n.d.	n.d.	n.d.	n.d.
Financial debt	3.312.332	3.155.841	2.849.131	1.938.730
Trade Payables	418.899	402.515	397.519	105.539
Commercial Creditors	117.985	56.786	179.791	124.381
Other current Liabilities	2.775.448	2.696.540	2.271.821	1.708.810
Total Liabilities and Equity	6.379.477	5.900.629	5.910.372	3.356.969
Working capital	5.067.928	4.629.490	4.731.149	2.388.769
Number of Employees	39	38	43	42
Income Statement				
Operating Revenue	16.962.452	13.967.926	10.746.422	10.311.905
Ner sales revenue	16.803.421	13.646.150	10.577.560	10.171.954
Cost of goods sold & Raw materials	9.855.916	7.523.491	5.122.179	4.362.884
Gross profit	7.106.536	6.444.435	5.624.242	5.949.021
Other operating expenses	6.067.521	6.067.835	4.958.286	4.845.905
Operating Profit	1.039.015	376.600	665.957	1.103.116
Financial Income	8.299	793	36	0
Financial expenses	34.581	142.972	17.053	2.496
Financial result	-26.282	-142.179	-17.016	-2.496
Ordinary Pre - tax profit	1.012.733	234.421	648.940	1.100.620
Corporate income tax	253.993	61.493	195.620	291.842
Ordinary Operating profit	758.740	172.928	453.321	808.778
Extraordinary income	n.d.	n.d.	n.d.	n.d.
Extraordinary expenses	n.d.	n.d.	n.d.	n.d.
Extraordinary Activities result	n.d.	n.d.	n.d.	n.d.
Net profit (Result of the period)	758.740	172.928	453.321	808.778
Materials	9.838.209	6.026.015	6.350.127	4.505.561
Personnel expenses	2.420.947	2.086.153	2.152.999	2.221.845
Depreciation of fixed assets	135.122	135.182	127.351	135.120
Other operating concepts	-3.511.452	-3.846.500	-2.677.936	-2.488.940
Financial expenses and related costs	33.381	16.972	17.053	2.360
Cash flow	893.862	308.110	580.671	943.898
Value Added	3.602.183	2.472.728	2.946.343	3.459.945
EBIT	1.039.015	376.600	665.957	1.103.116
EBITDA	1.174.137	511.782	793.307	1.238.236

APPENDIX

Global Format Ratios

Non-Consolidated Accounts	31/12/2023 EUR 12 months Pending Processing Normal PGC 2007	31/12/2022 EUR 12 months Approved Normal PGC 2007	31/12/2021 EUR 12 months Approved Normal PGC 2007	31/12/2020 EUR 12 months Approved Normal PGC 2007
A. Profitability				
Return on Equity (ROE) (%)	40,24	13,08	37,95	77,60
Return on Employed Capital (%)	34,11	9,16	21,76	77,77
Return on Total Assets (%)	15,87	3,97	10,98	32,79
Profit Margin (%)	5,97	1,68	6,04	10,67
B. Operations				
Net Asset Turnover	5,53	5,09	3,51	7,27
Interest Coverage Ratio	31,13	22,19	39,05	467,42
Inventory Turnover	21,63	14,64	5,37	19,93
Collection Period (days)	93	96	97	70
Credit Period (days)	3	1	6	4
C. Structure				
Solvency Ratio	1,72	1,70	1,81	1,40
Liquidity Ratio	1,48	1,40	1,11	1,13
Medium- and Long-Term Financial Autonomy Ratios	4,57	1,88	1,27	n.s.
Solvency Coefficient (%)	39,45	30,37	28,93	42,25
Leverage (%)	38,51	75,62	102,29	7,44
D. Per employee				
Profit per employee	26	6	15	26
Operating Revenue per Employee	435	368	250	246
Labor Costs / Operating Revenue (%)	14,27	14,94	20,03	21,55
Average Number of Employees	62	55	50	53
Equity per employee	65	47	40	34
Working capital per employee	130	122	110	57
Total Assets per Employee	164	155	137	80

LABORATORIOS BABE SL

Financial Profile & Employees

Non-Consolidated Accounts	31/12/2023 EUR 12 meses Pending Processing Normal PGC 2007	31/12/2022 EUR 12 meses Approved Normal PGC 2007	31/12/2021 EUR 12 meses Approved Normal PGC 2007	31/12/2020 EUR 12 meses Approved Normal PGC 2007
Operating Revenue	16.962.452	13.967.926	10.746.422	10.311.905
Ordinary Pre-Tax Results	1.012.733	234.421	648.940	1.100.620
Net Income	758.740	172.928	453.321	808.778
Total Assets	6.379.477	5.900.629	5.910.372	3.356.969
Equity	2.516.808	1.792.068	1.709.804	1.418.239
Economic Profitability (%)	15,87	3,97	10,98	32,79
Financial Profitability (%)	40,24	13,08	37,95	77,60
General Liquidity	1,72	1,70	1,81	1,40
Leverage (%)	60,55	69,63	71,07	57,75
Number of Employees	39	38	43	42

EBIDTA		t	QS/avCpQ	Oprev/avPwi	operRev	avPwith inf	t	inflation	High-End Serums: $49.00 (e.g., Eyelash, Brow, and Hair serums)
1 174 137,00		2023	110 747,88	506 671,57	16 962 452,00	33,48	2023	6,28	Mid-Range Treatments: $22.00 – $39.00 (e.g., Eyelash Conditioners, Face Serums, and Shampoos)
511 782,00		2022	88 766,15	406 105,16	13 967 926,00	34,39	2022	9,19	Budget Cosmetics: $15.00 (e.g., Mascaras, Brow Fillers, and Lip Masks)
793 307,00		2021	72 468,10	331 541,55	10 746 422,00	32,41	2021	2,9	
1 238 236,00		2020	71 028,94	324 957,38	10 311 905,00	31,73	2020	0,74	avP 31,5
	Er<0,1(10%)		avQofCustomers	the Qof sell's In Y (QS)					
									In the e-commerce, beauty, and cosmetics industry, the average customer purchases from a brand between 2.5 and 2.8 times per year. If the customer joins a brand's loyalty program, that frequency typically jumps to 5 to 8 times per year
	t	QS/avCpQ	b	operRev	Oprev/avPwi	QS/avCpQ	b		
	48,5701861	-705289,1712	1422506397	-0,991404532	36,62913801	-555478,6631			avCustomerpurchQ(avCpQ) 4,575
	26,69271025	382574,6111	771211675,2	0,332219076	12,18966688	670279,3316			
	0,775511376	279584,2995	#N/A	0,900312871	186309,5664	#N/A			
	1,727284358	1	#N/A	4,515692639	1	#N/A			
	2,70035E+11	78167380505	#N/A	3,13491E+11	34711254550	#N/A			
$k_{imprtnt}$	0	48,5701861							
	more than 1								
				prediction					
2026	2882944,663	191319,1831	1,22	150,7379765	50,7379765				
2025	1912553,645	156819,0025	1,2	141,8399945	41,83999451				
2024	1348388,126	130682,5021	1,18	124,2239798	24,22397981	origine	delta	delta^2	
			Temp of Customers(chain)						
2023	1085449,145	110747,8831				1 174 137,00	88 687,86	7 865 535 657,55	
2022	723081,6795	88766,15479				511 782,00	- 211 299,68	44 647 554 549,46	
2021	636771,2066	72468,09815				793 307,00	156 535,79	24 503 454 617,46	
2020	1272159,969	71028,93528				1 238 236,00	- 33 923,97	1 150 835 680,18	
							err^2	139 792,15	

APPENDIX

t	Y^EBIDTA	X^QS/avCpQ	X changing rate		Delta %
2028	6698416,764	298917,0917	1,26	151,9661933	51,96619333
2027	4407833,49	237235,787	1,24	152,8934477	52,89344768
2026	2882944,663	191319,1831	1,22	150,7379765	50,7379765
2025	1912553,645	156819,0025	1,2	141,8399945	41,83999451
2024	1348388,126	130682,5021	1,18	124,2239798	24,22397981
2023	1085449,145	110747,8831	Temp of Customers(chain)		
2022	723081,6795	88766,15479			
2021	636771,2066	72468,09815			Delta % (5y interval)
2020	1272159,969	71028,93528		the boost+% in 5 y	169,9077248

APPENDIX